

6 28010 00333

TUESDAY

AUGUST 18, 2026
RABI AL AWWAL 5, 1448

TRUSTED NEWS SINCE 1978

gulfnews.com
GULF NEWS



LIVE
UPDATES

The Bridge To Your Home



Cargo, Courier,
Shipping, logistics

800 916
www.abccargo.com

31545865 1421



UAE Presidential Court

PRESIDENT, SULTAN OF OMAN DISCUSS REGIONAL ISSUES

President His Highness Sheikh Mohamed Bin Zayed Al Nahyan yesterday received Sultan Haitham Bin Tariq of Oman during his visit to the UAE. The leaders exchanged views on regional and international issues of joint interest, particularly the serious developments in the Middle East and ongoing efforts to strengthen security, stability, and peace for the benefit of all countries and peoples of the region.

UAE banks' profits hit Dh90.8b

Retail deposits rose 13.8% while mortgage lending grew 23.9% during 2025

DUBAI
BY NIVETHA DAYANAND
Assistant Business Editor

UAE banks recorded net profits of Dh90.8 billion in 2025, up 11.7 per cent from the previous year, while the banking system's total assets increased 17.1 per cent to Dh5.3 trillion, according to the Central Bank of the UAE's (CBUAE) Financial Stability Report 2025. The loan portfolio expanded by 17.8 per cent during the year, driven mainly by higher

domestic lending across the retail and private corporate segments, while deposits increased by 16.1 per cent. Retail deposits alone grew 13.8 per cent year-on-year, while private corporate deposits increased 22.8 per cent. Resident deposits accounted for 88.6 per cent of the overall increase in deposits during 2025.

Mortgage lending grew 23.9 per cent during 2025, with average loan-to-value ratios on new mortgage commitments remaining around 60 per cent.

Loan-to-deposit ratio

The CBUAE report showed that the banking system's loan-to-deposit ratio stood at 77.7 per cent at the end of the year, compared with 76.6 per cent in 2024. Asset quality also im-

proved during 2025, with the non-performing loan ratio falling to 3.3 per cent, compared with 4.7 per cent in 2024 and 8.2 per cent in 2020.

The banking system maintained a Capital Adequacy Ratio of 17.0 per cent at the end of 2025, while its Common Equity Tier 1 ratio stood at 14.4 per cent. Total operating income rose 12.5 per cent. The banking system's net interest margin moderated to 2.3 per cent in 2025 from 2.5 per cent in 2024, while the cost-to-income ratio declined to 30.5 per cent from 31.5 per cent.

The CBUAE's 2025 supervisory stress tests found that the banking sector remained above minimum regulatory capital requirements under a severe adverse scenario.

TRUMP FACES TOUGH CHOICES AS IRAN DEADLINE PASSES

Economic warfare deepens, tensions flare

DUBAI

BY STEPHEN N. R.
Senior Associate Editor

The 60-day clock has run out on Donald Trump's Iran deal, leaving the US president with difficult choices as Washington and Tehran dig in and regional tensions remain high.

The June 17 agreement was supposed to provide a pathway out of the war, reopen the Strait of Hormuz and lead to a settlement over Iran's nuclear programme.

None has happened. Hormuz remains heavily restricted and nuclear negotiations have failed to produce a breakthrough.

'Irrelevant' deadline

Iran yesterday dismissed the deadline itself as "irrelevant", saying Washington had violated the agreement weeks after it was signed.

"We did not begin any negotiations because, a few weeks after the signing, widespread violations of the agreement began, thereby rendering the 60-day provision irrelevant," Iranian foreign ministry spokesman Esmail Baqaei said.

Washington and Tehran now appear locked in a test of endurance.

"The Islamic republic is trying to put the economic crunch on America, and America is trying to put the economic crunch on the Islamic republic," Iran expert Behnam Ben Taleblu told *The New York Times*.

The diplomatic clock has stopped. With Washington and Tehran now seemingly locked in a test of endurance, the question is who can endure the pain longer.

Trump essentially faces three paths:

Squeeze Iran

This appears to be Washington's preferred strategy.

The US has withdrawn sanctions waivers on Iranian oil and restored its naval blockade of Iranian ports, betting that economic pressure will eventually force Tehran to compromise.

Iran is making the opposite calculation: That it can withstand the pain longer than Trump can tolerate disruption to Hormuz and higher energy costs ahead of November's congressional elections.

Taleblu told the *Times* that US economic pressure could prove punishingly effective but warned Tehran was likely to respond by escalating, potentially setting the stage for renewed fighting.

Escalate militarily

Trump could again turn to military force. He considered a major offensive against Iran on at least two occasions, *The New York Times* reported, but pulled back following appeals from re-

gional allies and warnings about dwindling stocks of critical munitions.

Trump sharpened the rhetoric yesterday, threatening to bomb Oman if it "gets in the way" of a US deal with Iran over Hormuz, even as Muscat holds separate talks with Tehran on maritime arrangements. He also called on Iran to "put up the white flag of surrender", while insisting he was in no hurry to reach a deal.

Meanwhile, tensions elsewhere in the region remain high.

Iran-backed Houthis said yesterday they targeted a Saudi military landing ship and four patrol boats with ballistic missiles in the Red Sea. Two Iranian drones also targeted the office of Iraqi Kurdistan Prime Minister Masrour Barzani and the home of the autonomous region's intelligence chief overnight.

Seek a compromise

Diplomacy is Trump's third option — and perhaps his most difficult. Iran wants the US blockade lifted, American forces withdrawn from around the country and war reparations before fully reopening Hormuz. Trump has rejected those demands.

The deadline has therefore passed without resolving the disputes the June agreement was meant to settle.

Trump is betting economic pressure will force Iran to move. Tehran is betting Hormuz and the mounting costs of war will force Trump to move first. Neither appears ready to blink.

SEE ALSO P6, 7

IN FOCUS



SPOTTING SIGNS OF CHILDHOOD ANXIETY

Anxiety starts young, and it shows up in the form of headaches, crying and clinginess | P8-9

NATION

UAE becomes first in world to approve new oral vitiligo drug | P2

BUSINESS

Dubai economic zones hit 96% occupancy, company count rises 13% | P-1



ENTERTAINMENT

Heroes and Nashville star Hayden Panettiere dies at 36 | P12

Why just
DREAM OF GOLD?
OWN IT



Start your journey today with just AED 1.

Buy 24K digital gold securely, track live prices, and convert your gold into jewellery, coins, or bars whenever you choose.



600565006
info@aingoldwallet.com



www.aingoldwallet.com

3154790_11